

Clarkson PLC (LSE: CKN)

Operating Profit Structure, Compensation Cost Treatment & Balance Sheet Composition (Cash vs. Accounts Receivable) Analysis

Date: 25 September 2026 | Currency: £m unless stated otherwise | Legend: [] = cited directly from source filings, [12] = calculated value (formula disclosed)

Primary sources: Clarkson PLC 2025 Annual Report (audited, PwC unqualified opinion) · Interim Results Announcement 2026 (reviewed only, unaudited, IAS 34)

1. Executive Summary (Facts Only)

- Among the four segments (Broking, Financial, Support, Research), revenue growth did not always translate into margin improvement — Support saw revenue increase in both observed periods while its margin declined in both.
- The direction of margin movement is fully explained arithmetically by whether the growth rate of 'implied cost' (= Revenue – Operating Profit) is higher or lower than the revenue growth rate ([12], §3.2).
- The company disclosed only two explicit causes for margin movement: (i) at Group level, the FY2025 decrease in administrative expenses was mainly driven by a lower bonus charge ([]); (ii) the Broking division's H1 2026 margin was pressured by circa 3 percentage points due to the combined effect of continued investment (recruitment, retention initiatives, and organisational changes) together with increased UK employer National Insurance costs linked to the rise in the Group's share price — the company does not separate how much of the 3ppt is attributable to each ([]).
- Cash bonuses and share-based payment expense are recognized in the income statement, but ESOP share purchases are not recognized in the income statement at all — they are treated purely as a financing cash flow and equity transaction ([]).
- Segment-level disclosure covers only Revenue and Operating Profit (a single figure) — no breakdown of cost of sales or administrative expenses by segment exists in any of the source files ([Note 4]).
- On the balance sheet, cash (plus near-cash investments) represents 34–55% of total assets, versus 14–27% for trade receivables (surface figure) — cash consistently exceeds receivables ([12], §6).
- A substantial portion of the surface-level trade receivables reflects the Financial division's T+2 settlement pass-through accounts (gross presentation, no credit risk); excluding these, real receivables are only 14.3–18.5% of total assets ([]/[12, 34]).
- Operating cash flow is structurally negative on a half-year basis due to the timing of bonus payments ([12], §6.6).

2. Segment Revenue & Operating Profit Structure (Recap)

2.1 Revenue Mix — Formula: Segment Revenue ÷ Group Total Revenue × 100

Segment	FY2024	FY2025	H1 2025	H1 2026
Broking	80.0%	75.4%	74.6%	75.1%
Financial	6.4%	9.5%	9.7%	11.6%
Support	9.8%	10.8%	11.3%	9.7%
Research	3.7%	4.3%	4.4%	3.7%

2.2 Operating Profit Mix — Formula: Segment Operating Profit ÷ Total Segment Operating Profit × 100 (before Head Office costs)

Segment	FY2024	FY2025	H1 2025	H1 2026
Broking	84.6%	76.8%	77.0%	75.9%
Financial	3.6%	10.6%	8.3%	13.7%
Support	5.3%	3.9%	5.3%	3.0%
Research	6.6%	8.7%	9.4%	7.4%

2.3 Segment Operating Margin — Formula: Segment Operating Profit ÷ Segment Revenue × 100

Segment	FY2024	FY2025	H1 2025	H1 2026
Broking	23.2%	19.7%	18.8%	20.9%
Financial	12.2%	21.5%	15.6%	24.3%
Support	11.8%	7.0%	8.6%	6.5%
Research	38.8%	39.0%	38.9%	41.7%

Source: Clarkson PLC 2025 Annual Report, Note 4 "Segmental information" (printed p.158) · Interim Results Announcement 2026, Note 3 (p.25).

3. Relationship Between Revenue Growth and Operating Margin

3.1 Observed Data

Segment	Period	Revenue Change	Margin Change	Direction
Broking	FY24→FY25	−10.1%	23.2%→19.7% (−3.5ppt)	Revenue↓ Margin↓
Broking	H1 25→H1 26	+39.6%	18.8%→20.9% (+2.1ppt)	Revenue↑ Margin↑
Financial	FY24→FY25	+41.1%	12.2%→21.5% (+9.3ppt)	Revenue↑ Margin↑
Financial	H1 25→H1 26	+66.4%	15.6%→24.3% (+8.8ppt)	Revenue↑ Margin↑
Support	FY24→FY25	+4.8%	11.8%→7.0% (−4.8ppt)	Revenue↑ Margin↓ Δ
Support	H1 25→H1 26	+19.0%	8.6%→6.5% (−2.1ppt)	Revenue↑ Margin↓ Δ
Research	FY24→FY25	+11.0%	38.8%→39.0% (+0.2ppt)	Revenue↑ Margin↑
Research	H1 25→H1 26	+15.3%	38.9%→41.7% (+2.8ppt)	Revenue↑ Margin↑

Δ Support saw revenue increase in both observed periods, yet margin declined in both — clear evidence within the data that revenue growth does not necessarily mean margin improvement.

3.2 Implied Cost Decomposition (segment cost lines are not disclosed → Implied Cost = Revenue − Operating Profit)

Segment	Period	Revenue Growth	Implied Cost Growth	Result
Broking	FY24→FY25	−10.1%	−6.1% (406.7→382.1)	Cost fell less than revenue → Margin↓
Broking	H1 25→H1 26	+39.6%	+36.1% (180.4→245.5)	Cost grew less than revenue → Margin↑
Financial	FY24→FY25	+41.1%	+26.2% (37.4→47.2)	Cost grew less than revenue → Margin↑
Financial	H1 25→H1 26	+66.4%	+49.2% (24.4→36.4)	Cost grew less than revenue → Margin↑
Support	FY24→FY25	+4.8%	+10.5% (57.3→63.3)	Cost grew more than revenue → Margin↓
Support	H1 25→H1 26	+19.0%	+21.8% (30.7→37.4)	Cost grew more than revenue → Margin↓
Research	FY24→FY25	+11.0%	+10.7% (15.0→16.6)	Cost growth ≈ revenue growth → Margin slightly↑
Research	H1 25→H1 26	+15.3%	+10.0% (8.0→8.8)	Cost grew less than revenue → Margin↑

Since Margin = 1 − Cost/Revenue, margin always rises when cost growth is slower than revenue growth — this is an arithmetic identity, not an estimate. Note: 'implied cost' here is derived by subtracting operating profit from revenue; it is not a cost line item disclosed by the company by segment (see §5).

3.3 Causes Explicitly Disclosed by the Company (only these two are recognized as 'disclosed reasons')

"underlying administrative expenses of £514.3m (2024: £526.0m), driven by a reduction in the bonus charge for the year, aligned to operating performance" — AR2025 Financial Review, p.23 (Group level, FY2025)

"the Group maintained its focus on investing for long-term sustainable growth, including targeted recruitment, retention initiatives in a competitive talent market and certain organisational changes to support the continued evolution of the business. Together with increased UK employer National Insurance costs on outstanding share

awards resulting from the appreciation in the Group's share price, these investments had a circa 3% impact on the Broking division's operating margin" — Interim Results Announcement 2026, p.6 (Broking division, H1 2026)

△ Correction note: an earlier draft of this quote used an ellipsis that dropped the first sentence, making it read as if National Insurance costs alone caused the 3ppt impact. The company's own text attributes the 3ppt to the COMBINED effect of (a) recruitment/retention/organisational investment and (b) NI costs — it does not disclose how the 3ppt splits between the two. The quote above has been restored to its full form.

No explicit cost-side explanation exists in any file for the margin movements of Support, Financial, or Research — only revenue-side (market condition) explanations are given. [Not disclosed].

3.4 Flow-Through Margin (Incremental Profitability of Revenue Change)

Average margin masks how profitable each additional (or lost) pound of revenue actually was. Flow-through margin isolates this: it divides the change in operating profit by the change in revenue for the same period, using the same implied-cost figures as §3.2.

 Formula: $\text{Flow-through margin} = \Delta \text{Operating Profit} \div \Delta \text{Revenue} \times 100$

Segment	Period	ΔRevenue	ΔImplied Cost	ΔOp. Profit	Flow-through Margin
Broking	FY24→FY25	-53.3	-24.6	-28.7	53.8%
Broking	H1 25→H1 26	+88.1	+65.1	+23.0	26.1%
Financial	FY24→FY25	+17.5	+9.8	+7.7	44.0%
Financial	H1 25→H1 26	+19.2	+12.0	+7.2	37.5%
Support	FY24→FY25	+3.1	+6.0	-2.9	-93.5%
Support	H1 25→H1 26	+6.4	+6.7	-0.3	-4.7%
Research	FY24→FY25	+2.7	+1.6	+1.1	40.7%
Research	H1 25→H1 26	+2.0	+0.8	+1.2	60.0%

 Reading the ratio: for a revenue increase, it is the share of each additional £1 of revenue that reached operating profit (higher = stronger operating leverage). For Broking's FY24→FY25 revenue decline, the 53.8% figure means 53.8% of each £1 of lost revenue also disappeared from profit — i.e. cost did not shrink in proportion to the revenue decline.

Broking's flow-through margin on its H1 revenue increase (26.1%) is well below Research's (60.0%) and Financial's (37.5–44.0%), and its flow-through on the FY2025 revenue decline (53.8%) shows cost did not fall in step with revenue either. In plain terms: a large share of each pound of Broking's revenue swing — in both directions — is absorbed by cost rather than flowing to profit.

 What the company discloses about the cost side of Broking specifically — none of it points to bonus as the (sole) driver:

"we made significant investment in our broking capabilities, strengthening our presence across multiple regions through new hires and personnel relocation into the Middle East, Europe, Asia Pacific and the Americas. The acquisition of Euro-America Shipping & Trade, Inc. ... at the start of the year provided access to a new market segment" — AR2025, Chief Executive Officer's review, p.18-19 (Broking, FY2025)

"The division continues to invest in its global presence, through the recruitment of high-quality teams and accretive acquisitions. The acquisition of Link expands the division's expertise in physical commodity markets" — Interim Results Announcement 2026, p.4 (Broking, H1 2026)

	FY2024	FY2025	 Change
 Broking average headcount (Note 3)	1,402	1,504	+7.3%

 Broking added headcount (+7.3%) even in FY2025, when Broking revenue fell 10.1% — consistent with continued hiring/regional-expansion investment weighing on cost even as revenue declined. Half-year headcount by segment is not disclosed, so the same check cannot be run for H1 2025→H1 2026.

△ The only quantified cost-side figure the company has given for Broking is the H1 2026 circa-3ppt margin impact (§3.3) — and per the company's own wording, that figure is attributed to recruitment/retention/organisational investment AND National Insurance costs TOGETHER, not to either one alone or to bonus. Beyond that combined 3ppt figure, the exact split of Broking's cost growth between bonus/compensation, headcount expansion, technology investment, and acquisition-related overhead is not disclosed by segment — attributing the low flow-through margin mainly to bonus would go beyond what the source files support. [Not disclosed].

4. Employee Compensation Cost Treatment — Cash Bonus vs. Share-Based Payment vs. ESOP Share Purchases

Item	P&L Recognition	Where Recognized	Balance Sheet / Cash Flow
Cash Bonus	☑ Expensed	Within "Wages and salaries" (Employee compensation and benefits expense, part of administrative expenses)	Liability: Bonus accruals £211.1m/£249.6m (Note 19). Shown as a non-cash reconciling item within operating cash flow
Share-based payment	☑ Separate expense (£2.4m/£2.5m)	Separate line within administrative expenses; recognized over the vesting period under IFRS 2 (Note 2.17, Note 22)	Equity: increase in Employee benefits reserve (non-cash)
ESOP shares acquired	✗ Not expensed	N/A	Financing cash flow £(33.4)m/£(26.4)m. Deducted from equity via ESOP reserve (Note 25) — an equity transaction

📖 P&L basis (Note 2.17): "the cost of equity-settled transactions is recognised... over the period in which the performance and/or service conditions are fulfilled". Cash flow basis: "Share-based payment expense" is a non-cash adjustment within operating activities, while "ESOP shares acquired" is shown separately within financing activities (AR2025 printed p.146).

→ **Cash bonuses and share-based payments are income statement expenses, while ESOP share purchases are an equity (financing) transaction that never touches the income statement — the accounting treatment differs completely, despite both relating to employee compensation.**

5. Scope of Segment-Level Income Statement Disclosure

✗ A complete segment-level income statement including cost of sales / administrative expense breakdowns does not exist (not disclosed).

📖 Note 4 "Segmental information" (AR2025 p.158-159) and the interim report's Note 3 (p.25) disclose only the following by segment:

- Revenue
- Results (= Operating profit, a single figure — no cost of sales / administrative expense breakdown)
- Segment assets / liabilities
- Non-current asset additions / Depreciation / Amortisation

Head office costs are also disclosed only as a single Group-wide figure and are not allocated by segment. The 'implied cost' used in §3.2 is derived by subtracting operating profit from revenue and is not a cost line item disclosed by the company.

6. Balance Sheet Composition — Cash vs. Accounts Receivable

6.1 Total Asset Composition (Consolidated Balance Sheet)

Item (£m)	Dec 2024	Jun 2025	Dec 2025	Jun 2026
Total non-current assets	267.5	273.6	294.8	375.1
Inventories	4.3	4.4	4.5	5.1
Trade and other receivables (current)	130.5	154.6	201.2	268.8
Income tax receivable	4.5	6.8	6.5	7.7
Current investments	62.2	69.1	70.4	6.6
Cash and cash equivalents	431.3	265.7	401.1	332.9
Total current assets	632.8	500.6	683.7	621.1
Total assets	900.3	774.2	978.5	996.2

Source: AR2025 Consolidated Balance Sheet (printed p.144); Interim Results Announcement 2026, Consolidated balance sheet (p.20).

6.2 Share of Total Assets ()

Item	Dec 2024	Jun 2025	Dec 2025	Jun 2026
Cash and cash equivalents	47.9%	34.3%	41.0%	33.4%
Trade receivables (surface figure)	14.5%	20.0%	20.6%	27.0%
Current investments	6.9%	8.9%	7.2%	0.7%
Non-current assets	29.7%	35.3%	30.1%	37.7%
Cash + current investments (near-cash)	54.8%	43.2%	48.2%	34.1%

Formula: each item ÷ total assets × 100. At every observation date, cash (+ near-cash investments) exceeds the surface-level trade receivables ratio.

6.3 Trade Receivables — Surface vs. Real Figure (T+2 Settlement Pass-Through Adjustment)

Interim report Note 10 / AR2025 Note 14: "Included in current trade receivables are £84.2m (31 December 2025: £60.9m; 30 June 2025: £17.0m) of short-term transaction settlement accounts within the Financial division, which typically settle T+2 from the trade date. A related payable of £84.1m... is included within trade payables." — this account records an identical amount on both trade receivables and trade payables simultaneously, has no net asset impact, and carries no credit risk.

	Dec 2024	Jun 2025	Dec 2025	Jun 2026
Trade receivables (surface)	130.5	154.6	201.2	268.8
(less) T+2 settlement pass-through	2.1	17.0	60.9	84.2
Trade receivables (real)	128.4	137.6	140.3	184.6
Real figure ÷ Total assets	14.3%	17.8%	14.3%	18.5%

The real receivables ratio is identical (14.3%) at end-2024 and end-2025 and remains stable, whereas the surface-level ratio appears to rise sharply from 14.5% to 20.6% — the entire difference is attributable to the increase in the T+2 pass-through account.

6.4 Trend in DSO (Days Sales Outstanding)

As At	Surface DSO	Real DSO
31 Dec 2024	72.0 days	70.9 days
30 Jun 2025	94.7 days	84.3 days
31 Dec 2025	116.3 days	81.1 days
30 Jun 2026	118.6 days	81.5 days

Formula: DSO = Receivables (real figure excludes T+2 account) ÷ Period revenue (H1 annualized ×2) × 365. Basis for H1 annualization: Interim report Note 2.4, "the Group's activities are not subject to significant seasonal variation".

6.5 Cash vs. Receivables — Relative to Revenue

	FY2024	FY2025	H1 2025 (annualized)	H1 2026 (annualized)
Reference revenue	661.4	631.4	595.6	827.0
 Cash ÷ Revenue	65.2%	63.5%	44.6%	40.3%
 Receivables (surface) ÷ Revenue	19.7%	31.9%	26.0%	32.5%
 Receivables (real) ÷ Revenue (=Real DSO÷365)	19.4%	22.2%	23.1%	22.3%

 At every point, the cash balance equals 40–65% of annual revenue, consistently larger than real receivables (19–23% of annual revenue). Note that the cash balance is not generated solely from current-period revenue but includes accumulated balances carried over from prior periods, so this comparison does not directly measure 'how much revenue has been converted to cash' — it is a reference indicator of relative asset composition.

6.6 Operating Cash Flow vs. Operating Profit (Cash Conversion Ratio)

	FY2024	FY2025	H1 2025	H1 2026
 Operating cash flow (OCF)	114.7	64.4	(86.3)	(29.4)
 Underlying operating profit	101.7	78.0	32.7	56.8
 Cash conversion ratio (OCF÷Op. profit)	1.13x	0.83x	(2.64)x	(0.52)x
 (Increase)/decrease in bonus accrual	32.4	(13.8)	(117.0)	(30.9)
 Cash conversion ratio excl. bonus payment effect	0.81x	1.00x	0.94x	0.03x

 Bonuses are recognized as a liability (Bonus accruals) at fiscal year-end and paid in cash during the following first half — this structurally makes H1 operating cash flow negative. The decline in the bonus-adjusted cash conversion ratio to 0.03x in H1 2026 indicates that, even excluding the bonus payment effect, other working-capital items — such as the increase in real trade receivables (\$6.3, 140.3→184.6) — offset cash inflow.

6.7 Summary — Is Revenue Cash-Backed or Receivable-Backed?

-  Asset composition: at every observation date, cash (+ near-cash investments) is 34–55% of total assets versus 14–19% for real receivables — cash consistently exceeds receivables.
-  Real DSO of 71–85 days: roughly 19–23% of annual revenue always remains on the balance sheet as uncollected receivables — implying the remaining 77–81% has already been, or was previously, converted to cash.
-  On a surface (T+2-inclusive) basis, the receivables ratio rises to 27.0% of total assets by Jun 2026 — this reflects the Financial division's gross presentation convention, not actual collection risk (\$6.3).
-  Operating cash flow is positive on an annual basis (FY2024/FY2025: £114.7m/£64.4m respectively) but structurally negative on a half-year basis due to bonus payment timing — this is not an earnings-quality issue, but a function of the bonus payment schedule ().

7. Source & Citation Table

Figure / Basis	File	Location
Segment revenue/profit FY24/25	clarksons-plc-annual-report-2025.pdf	Note 4 Segmental information, printed p.158
Segment revenue/profit H1 25/26	interim-results-announcement-2026.pdf	Note 3 Segmental information, p.25
Broking H1 2026 margin impact ~3ppt (investment + NI, combined)	interim-results-announcement-2026.pdf	CEO's review "Results", p.6
Admin expense decrease = lower bonus charge (FY2025)	clarksons-plc-annual-report-2025.pdf	Financial Review, p.23
Admin expense increase = investment in people (FY2024)	clarkson_plc_annual_report_2024.pdf	Financial Review
Bonus accounting treatment (Bonus accruals)	clarksons-plc-annual-report-2025.pdf	Note 19 Trade and other payables, PDF p.87
Share-based payment accounting policy (IFRS 2)	clarksons-plc-annual-report-2025.pdf	Note 2.17, Note 22
ESOP share purchases / ESOP reserve	clarksons-plc-annual-report-2025.pdf	Note 25 Other reserves; Consolidated Cash Flow Statement, printed p.146
Consolidated balance sheet FY24/25	clarksons-plc-annual-report-2025.pdf	printed p.144 (PDF p.73-74)
Consolidated balance sheet Jun25/Jun26	interim-results-announcement-2026.pdf	p.20
Consolidated cash flow statement H1 25/26	interim-results-announcement-2026.pdf	p.22
T+2 settlement pass-through definition	interim-results-announcement-2026.pdf / AR2025	Note 10 (p.29) / Note 14 (PDF p.87)
No-seasonality statement	interim-results-announcement-2026.pdf	Note 2.4, p.24

All segment totals and balance sheet totals have been reconciled against the source filings. Where the company did not explicitly disclose a cause or item, this is marked "[Not disclosed]" in the text above — nothing has been estimated or invented.